the Tatas would need to earnestly bid for the contract to ‘demonstrate leadership’, says Sinha.

Tata Power won the contract. The motivation was not profit. Though the 4,000 MW power plant, the largest coal-fired thermal power plant in the world, gave Tata Power ‘significant size’, the project was pursued on account of a ‘nationalistic goal and a duty’, says Prasad Menon, MD of the company (2000–06). Ratan had said that the Tatas should do ‘what is good for the country’. ‘He did not take the decision for the benefit of Tata Power,’ but because he believed it to be the best way for the country to generate power in terms of scale and speed.

To offset the very competitive rate at which the bid was won and considering the difficulties faced in securing coal from India at workable rates, Tata Power looked to source coal from overseas. It successfully acquired a 30 per cent stake in the Indonesian coal mines PT Arutmin Indonesia and PT Kaltim Prima Coal (KPC), ‘as well as trading companies from PT Bumi Resources’.

The deal gave the company ‘access to one of the largest exporting thermal coal mines in the world’. It not only secured its ‘fuel requirements’ but also opened up ‘opportunities for the company to own and operate a range of competitive and profitable electricity and energy businesses in India and overseas’. It was a very attractive acquisition; however, the Indonesian government unexpectedly imposed a tax on coal slivering, part of the commercial advantage Tata Power had expected to reap through the asset. If it were not for this sudden turn of events, the Mundra project would have yielded attractive profits.

Nevertheless, the acquisition of coal mines proved to be a commercial success. Today, Mundra loses about Rs 1,800 crore annually. But to a large extent, this loss is offset by the profits it earns from its part-ownership of the Indonesian mines, Sinha opines. Mundra makes a profit of nearly Rs 1,200 crore from the mines it had bought.

Expanding to New Geographies

Tata Power’s pace of expansion in the first decade of the new century was dizzying. In 2006, the company signed an agreement with the ‘Orissa government for the development of a 1,000 MW coal-based power project with captive coal mining facilities’. The project’s capacity was later